# Beyond refresh

## Building tomorrow’s hospitality spaces

JLL SEE A BRIGHTER WAY

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# Market snapshot

Aboudi Asali
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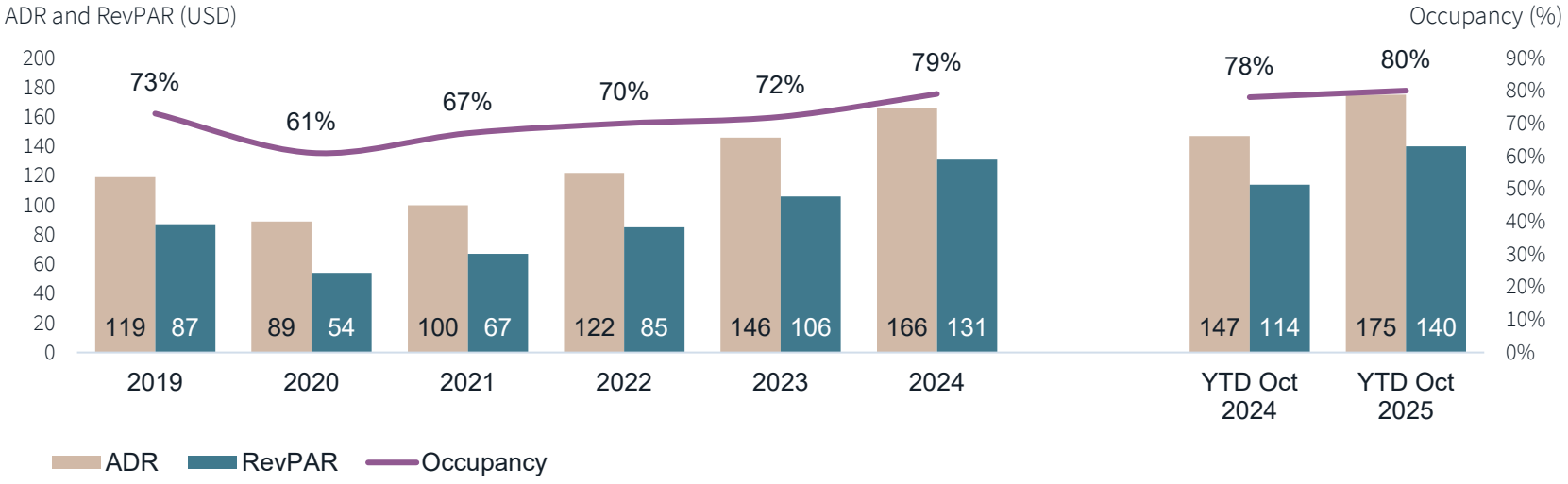
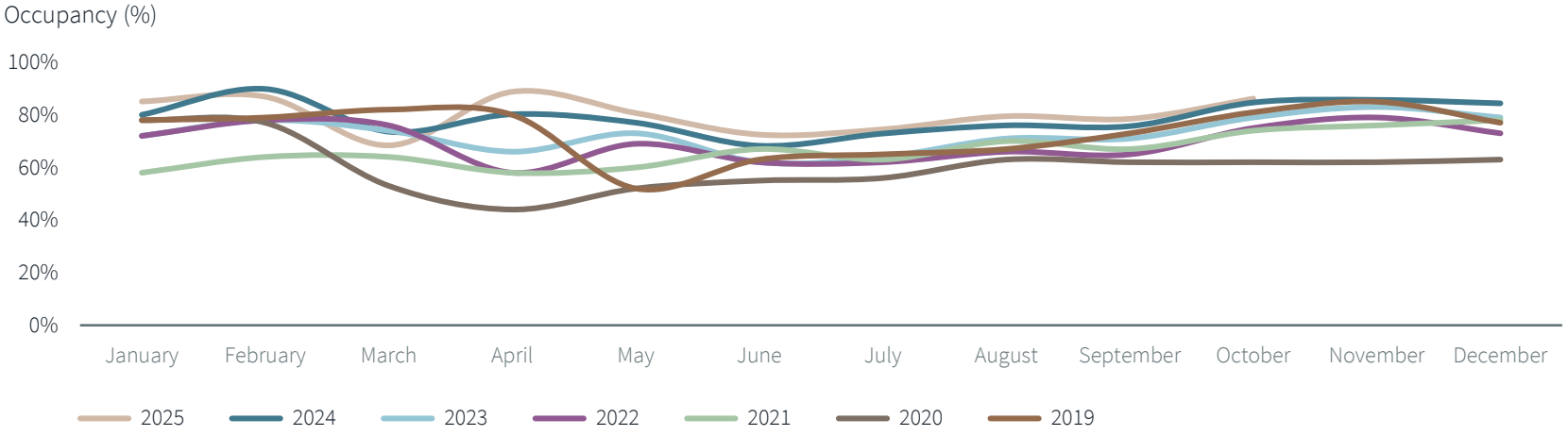
## Abu Dhabi market-wide historical hotel performance (2019 – 2025 YTD)




## Abu Dhabi seasonality - Market-wide occupancy

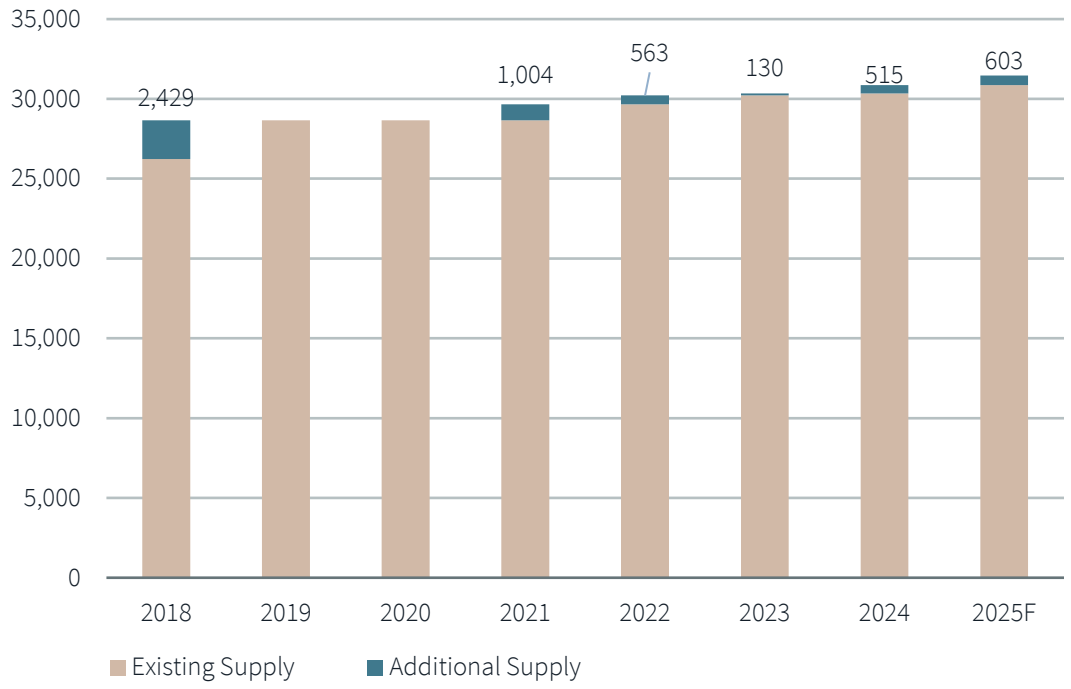


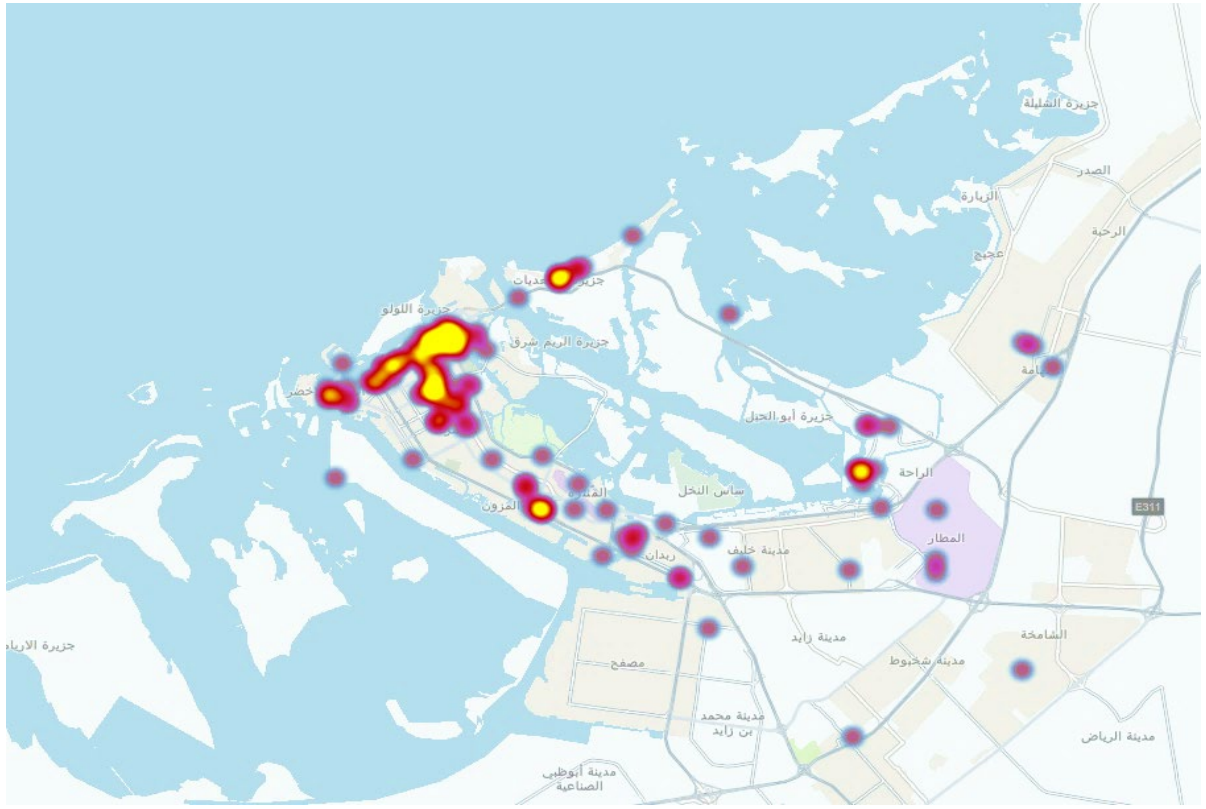

Source: STR, JLL Research

# The hospitality supply in Abu Dhabi has grown steadily over recent years and is heavily concentrated in the CBD area

**Overall market - Abu Dhabi supply (2018-2025 YTD)**

Number of rooms

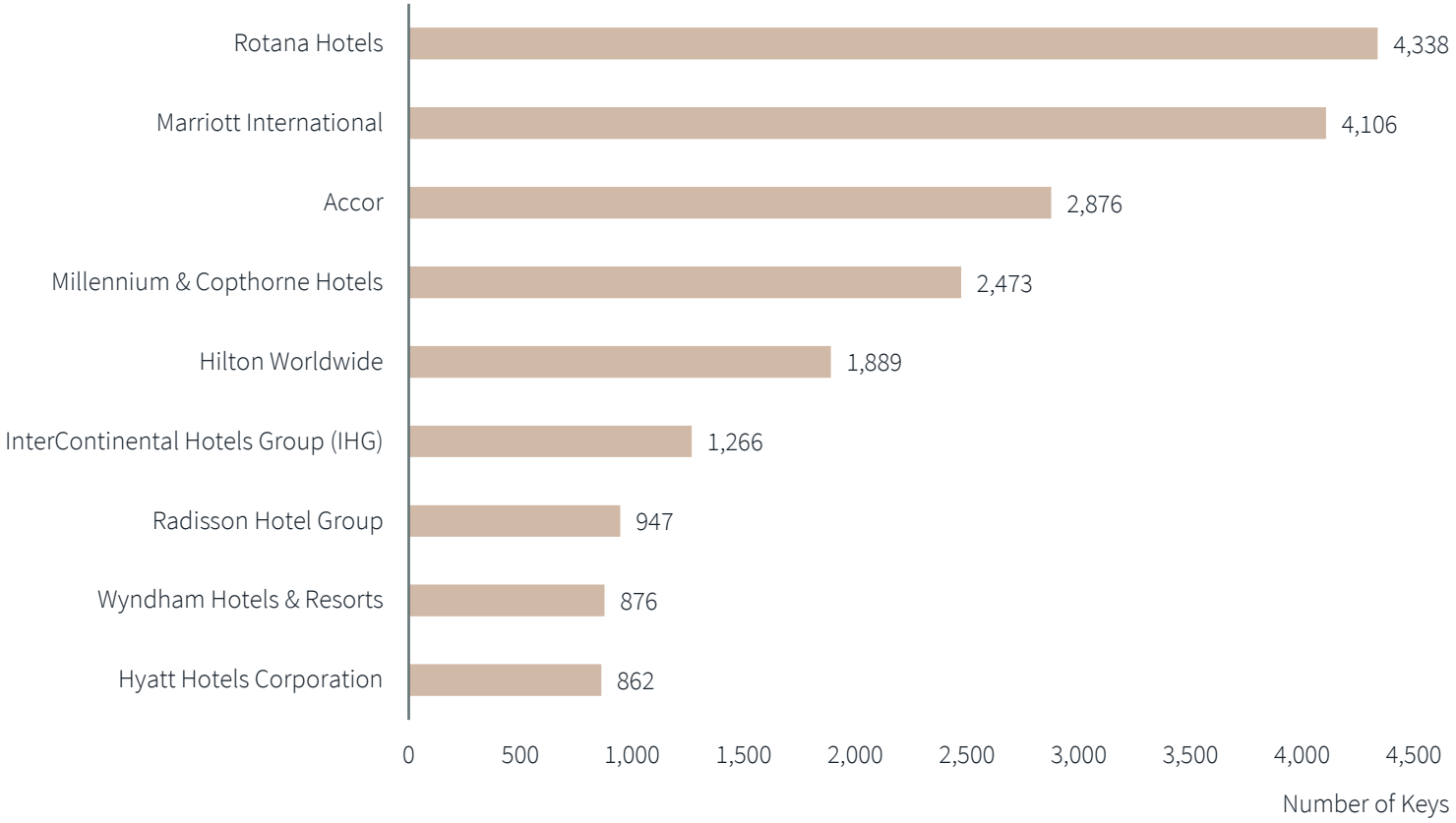


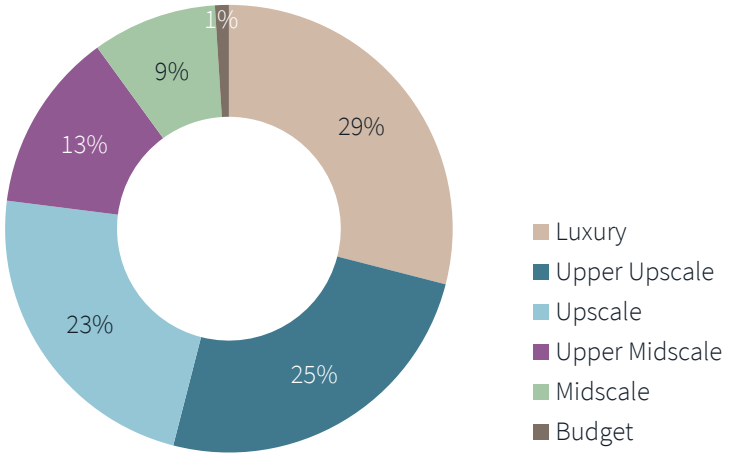

Source: STR, JLL Research

# In Abu Dhabi, approximately two-thirds of the hotel market is branded, with the upscale to luxury segment serving as the primary driver. This segment accounts for 77% of the total room supply, highlighting its significant influence on market performance

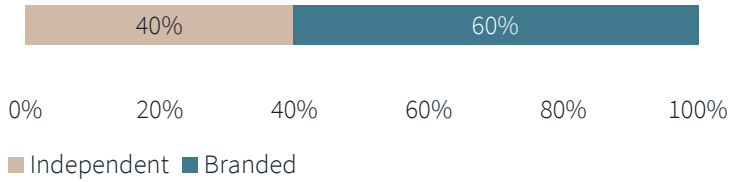
## Biggest operators by number of rooms in Abu Dhabi




## Hotel supply breakdown as of July 2025

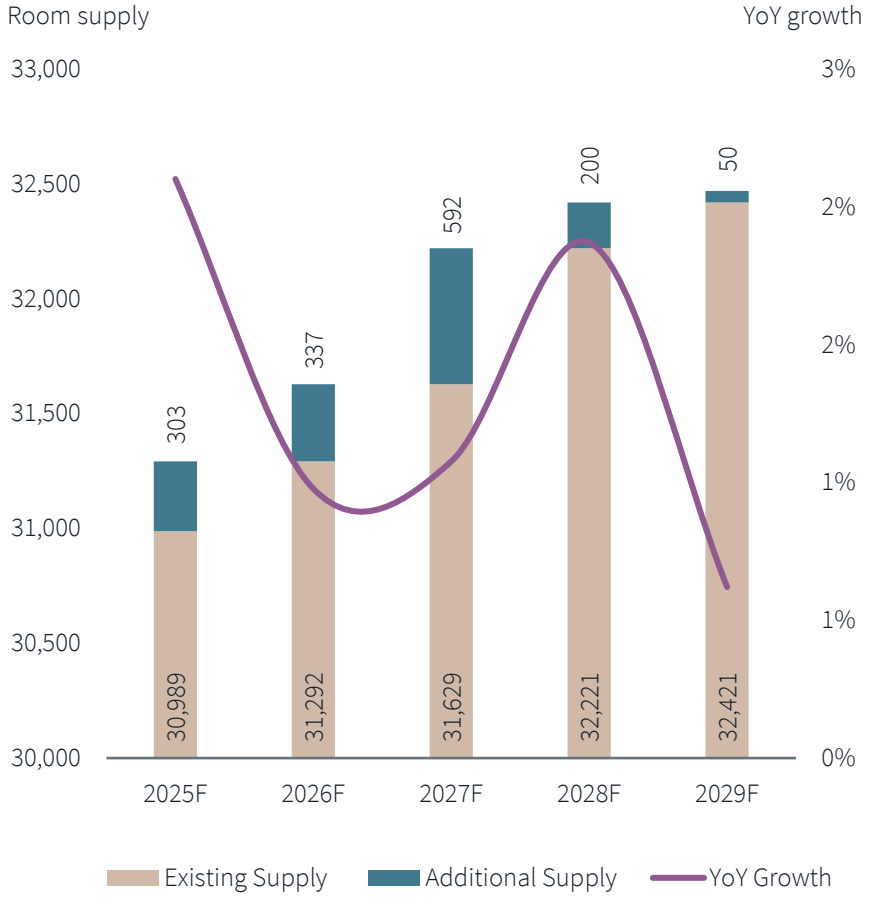



## Share of branded supply in Abu Dhabi

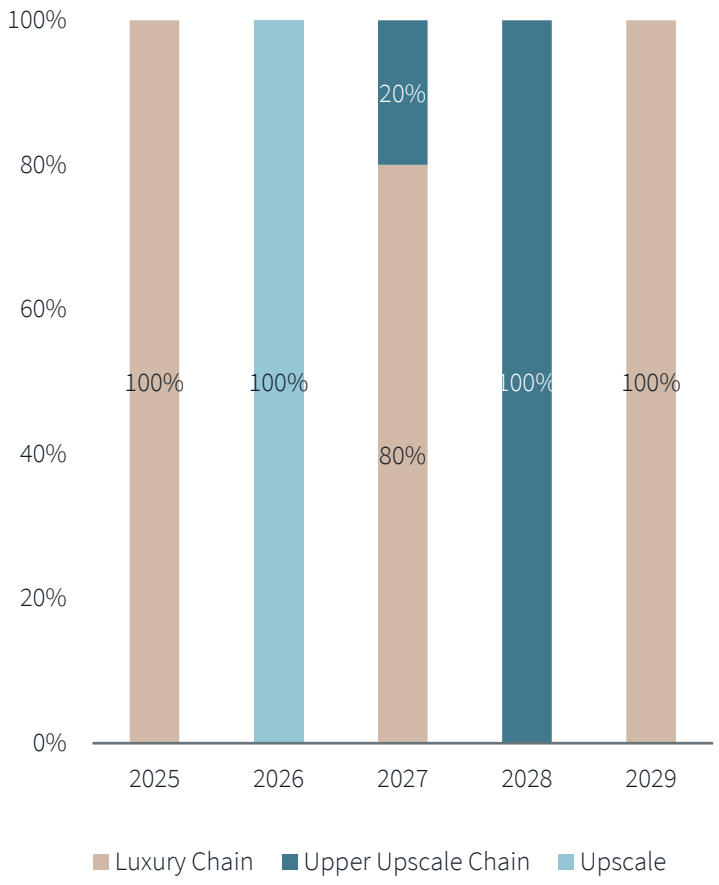


# 55% of future supply in Abu Dhabi is positioned in the luxury segment, the remaining in Upper upscale and Upscale

## Future supply (2025F - 2029F)




## Future supply breakdown (2025 – 2029)




Source: STR

# The majority of future supply will consist of luxury and branded properties concentrated on the islands surrounding Abu Dhabi's central districts

| # | Future supply | Chain scale | Opening | Rooms |
|---|---|---|---|---|
| 1 | Mondrian Abu Dhabi | Luxury | 2026 | 301 |
| 2 | SHA Emirates at AlJurf | Independent | 2027 | 120 |
| 3 | Marriott Executive Apartments Al Reem Island | Upper upscale | 2027 | 147 |
| 4 | GG Resort | Luxury | 2027 | 200 |
| 5 | Al Nawras Island LXR Hotels & Resorts | Luxury | 2027 | 80 |
| 6 | Nobu Hotel & Residences | Luxury | 2027 | 165 |
| 7 | Disney Theme Park Resort | Upper upscale | 2028 | 200 |
| 8 | The Ritz-Carlton Reserve Ramhan Island | Luxury | 2029 | 50 |
| 9 | Bvlgari Resort & Mansions | Luxury | 2030 | 90 |
| | | | **Total** | **1,353** |

● Luxury ● Upper upscale ● Upscale

Source: STR, JLL Research

# Drivers for retrofitting

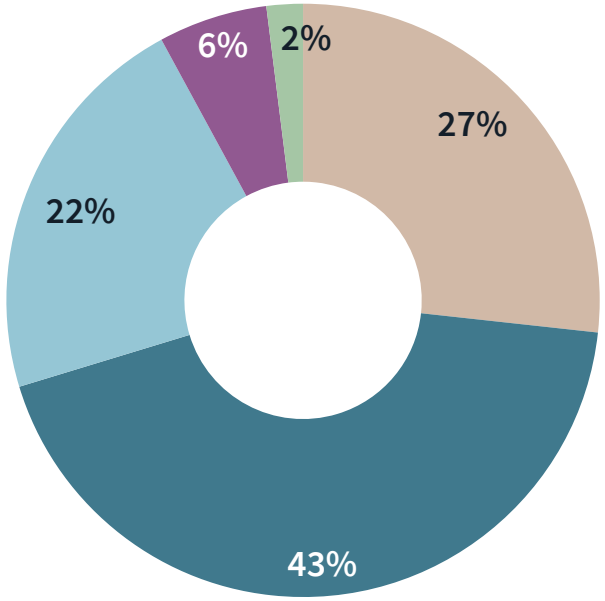
Taimur Khan
Head of MEA Research

02

# People seek more from their built environments

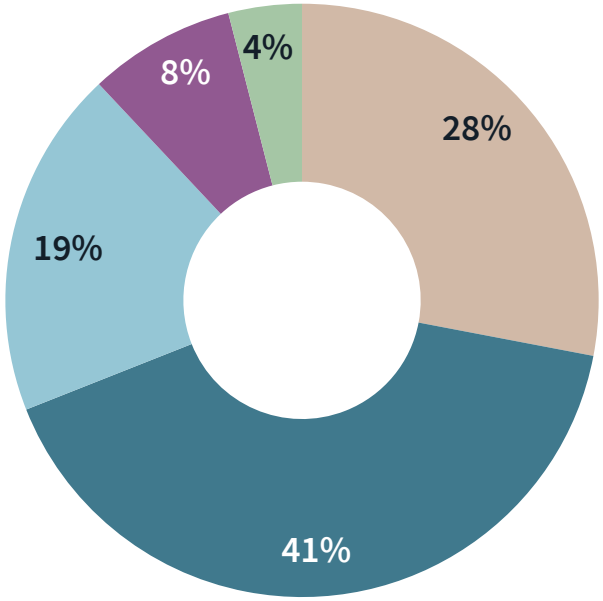
**71%**

Expect their cities to offer new experiences to stay relevant



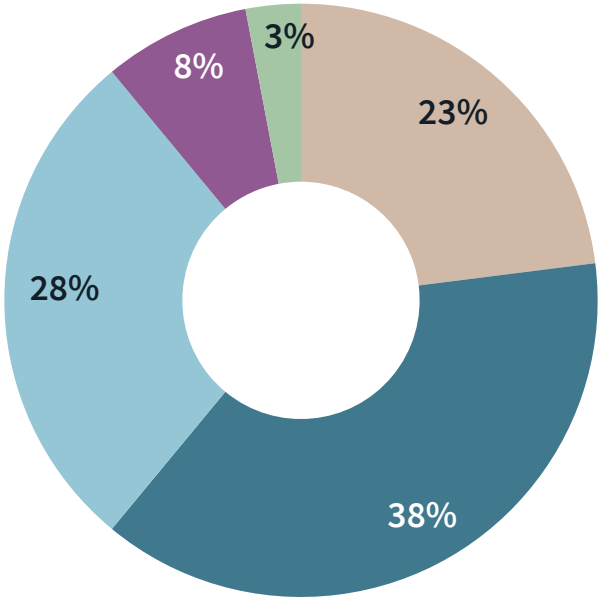

**69%**

Willingly pay premiums for high-quality experiences




**61%**

Choose high-quality experiences over proximity for spaces for socializing




Strongly agree | Agree | Neutral | Disagree | Strongly disagree

# Key considerations

### The balance between contributing factors drives strategy

Stranding risk drivers vary by asset and location but broadly fall into six categories: adaptability, systems, urban experience, market conditions, land use and sustainability.

### Interventions to avoid obsolescence vary widely

There is no ‘one size fits all’ approach. The scale, risks and returns of potential interventions sit on a gradient, ranging from incremental refurbishments to deep retrofits.

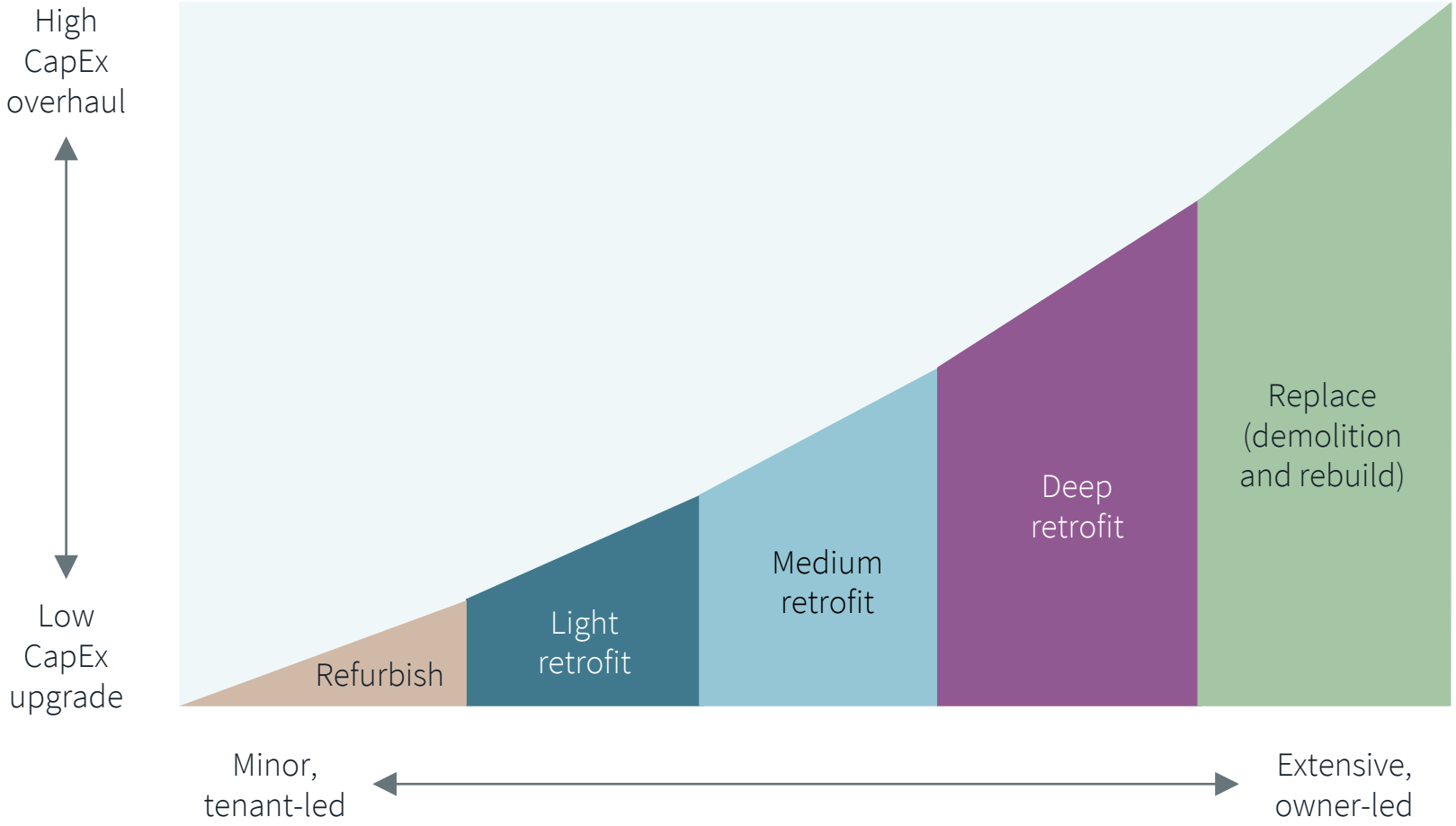
### Energy upgrades are notable for strong return

Strategic retrofitting, especially energy upgrades aligned with building structure, future-proofs assets. This approach offers up to 60% energy savings and reduces regulatory risks.

Source: JLL Research

# Determining scale of invention and revitalization measures

**Revitalization measures: Scale, capital expenditures and complexity**



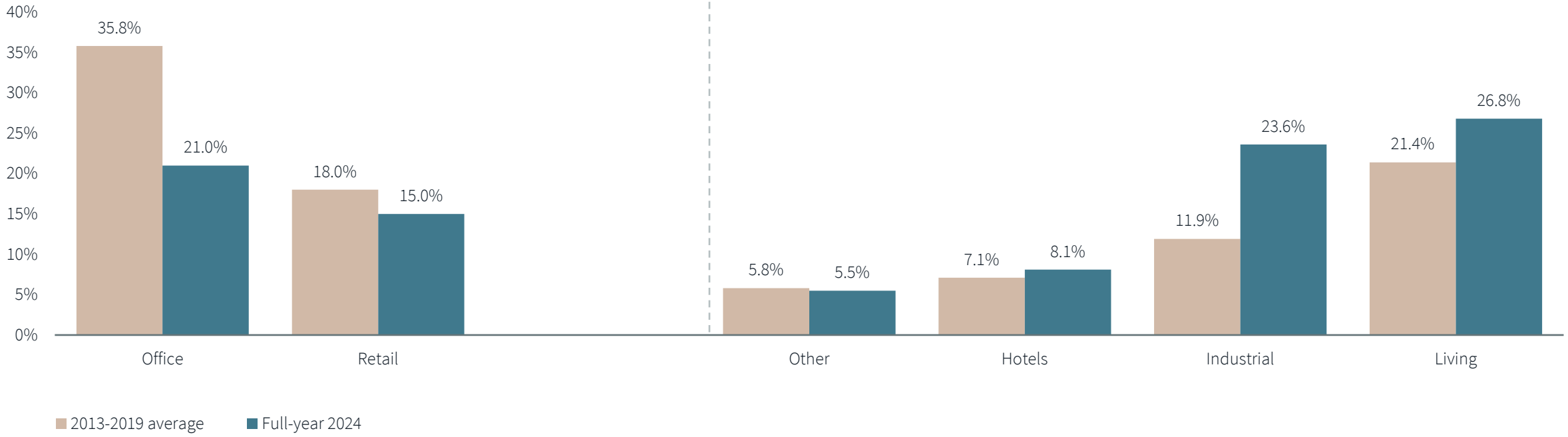

Source: JLL Research

Current financial performance, scale of intervention required and potential ROI can inform portfolio strategy and help prioritize assets for intervention.

# Sectoral shifts/portfolio diversification will inform the business case

Reducing exposure to capital-intensive opportunistic and value-add interventions, such as deep retrofits

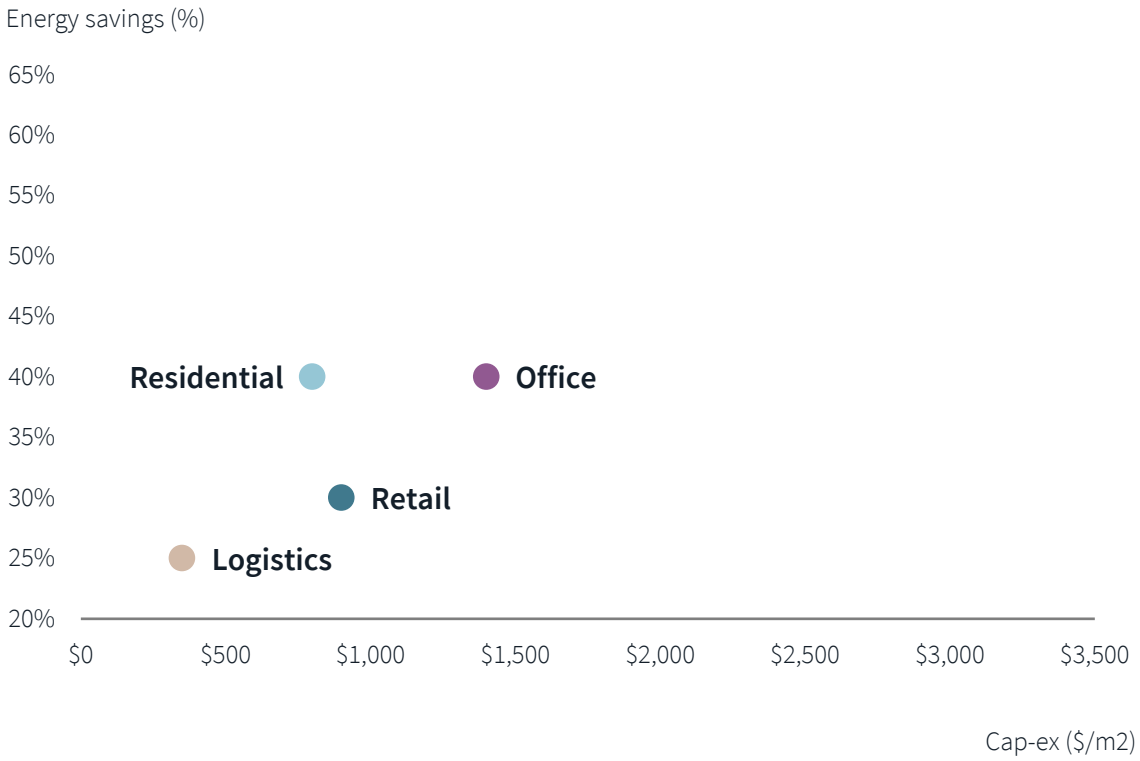
Increasing exposure to sectors with stable cash flow through light retrofits or office-to-residential conversions



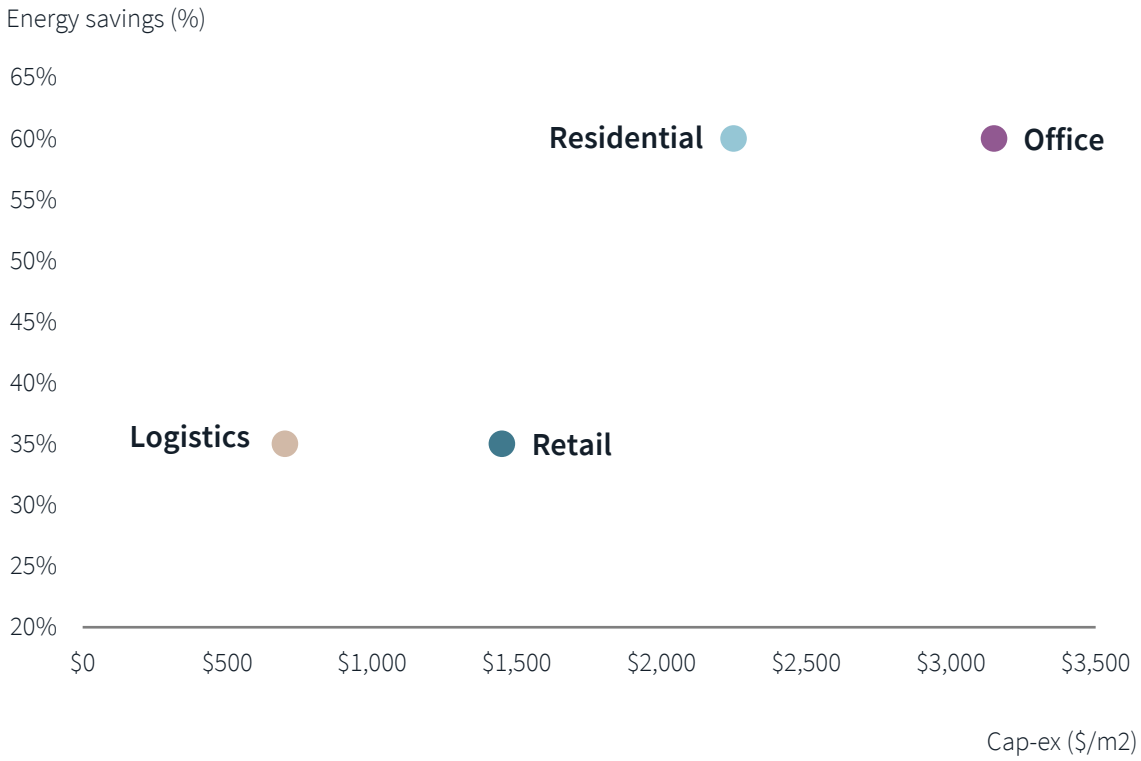

Source: JLL Research

# Proactive investment matters: Savings per dollar of capital spent are generally 1.7x higher earlier on in a building's life cycle

**Earlier-term medium retrofit (10-15 years)**




**Later-term deep retrofit (20-30 years)**




Source: JLL Research

# Revitalising UAE hotels

Gary Tracey
Head of Project & Development Services
UAE

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# Construction refurbishment drivers and themes

| Key drivers for refurbishment | Major refurbishment themes |
| --- | --- |
| Maintain **market competitiveness** amid pipeline growth and rising guest expectations | **Technology integration** (smart rooms, seamless check-in/out, IoT) |
| **Rebranding** or alignment with updated operator/brand standards | Luxury and experiential upgrades (F&B concepts, wellness, design innovation) |
| Sustainability upgrades (**energy efficiency**, green building compliance) | Contemporary **design trends** (local cultural elements, open-plan spaces) |
| Asset **lifecycle improvements** and value preservation | **Enhanced accessibility** and inclusivity features |

**What are the main factors during design and construction refurbishment?**

**Construction cost**

**Programme/time**

**Brand quality**



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# Project scope and approvals

**Typical project scope**

- Guestrooms, suites, public areas, lobby, corridors
- F&B outlets, spas, meeting rooms, back-of-house facilities
- Mechanical, Electrical, and Plumbing (MEP) system upgrades

**Segmentation approach**

- Phased renovations (by floor, wing, or zone to reduce downtime)
- Priority sequencing (public spaces vs. back-of-house vs. rooms)
- Coordination with peak/off-peak occupancy periods

**Approval process**

- Design stage gateway approvals (by developer and operator)
- UAE authority approvals (DTCM, DM, etc…)
- Brand-specific standards may require additional operator and owner sign-of

**MICE facilities**

**Reception areas**

**Outdoor/Pools**

**Restaurants**

**Guest rooms/Suites**

# A wide spectrum of strategies to sustain and enhance asset value

**Minor interventions** ⟷ **Major interventions**

**Reposition**
Change of strategic direction and market perception

**Repurpose**
Whole or partial change of use

**AED 5,000 to 7,000 per m2**

| Refurbish | Retrofit | | | Replace |
|---|---|---|---|---|
| | **Light** | **Medium** | **Deep** | |
| Appearance updates and minor renovations as part of routine maintenance. | Measures implemented with little to no disruption to occupants, minor upgrades, single aspect. | Substantial interventions, moderate disruption, MEP. | Extensive transformation, significant disruption, structure, systems, services and function. | Replace structures, demolish and construct new facilities, often for a different use class. |
| CapEx | | | | |
| **0.5%-1.5% of value** | **3%-4% of value** | **5%-8% of value** | **9%-12% of value** | **70%+ of value** |
| Repainting walls<br>Replacing carpets<br>Updating fixtures<br>Tech implementation | LED upgrades<br>BMS optimization<br>Smart mechanical systems<br>Improved weatherization | HVAC replacement<br>Electrification MEP systems<br>Window replacements<br>BMS replacement | Building envelope, major structural upgrades<br>Renewable energy<br>Full building electrification | |

**AED 8,000 to 12,000 per m2**

Source: JLL Global Research



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# Maintaining a live hotel and risks

| Minimizing disruption | Risks and mitigation |
| --- | --- |
| Strategic **isolation of construction zones** (physical barriers, access control) | **Operational:** disturbance to guests, reduction in revenue → **Proactive scheduling**, close out works in stages |
| Detailed guest and staff **communication plans** | **Safety:** guest/staff hazards → Strict site protocols, clear signage |
| **Scheduling** during low occupancy: phased works, night or off-peak shifts | **Timeline:** delays due to approvals, supply chain → **Robust planning**, contingency buffers |
| **Noise and dust** mitigation measures | **Compliance:** regulatory or brand standard breaches → **Early engagement** with authorities and operators |

**Priorities for a successful Hotel refurbishment project:**

**Early cost estimation** » **Programme: Design, phasing and construction** » **Timely approvals: Authorities/design/mock-ups** » **Construction and quality management** » **Continuous project and cost management**

# Experiences that shape competitiveness

Dima Najib-Costa
Senior Director Consulting

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# The Opportunity - From Output to Experience

GXP unites economic strength, wellbeing and lived experience into one measurable advantage.

1

## GDP

Gross Domestic Product

**Economic Output**
Production + Scale

2

## GNH

Gross National Happiness

**Wellbeing**
Fufilment + Balance

3

## GXP

Gross Experience Product

**Lived Experience**
Meaning + Memory

# The GXP Framework - How Places Create Value

GXP quantifies lived experience through three forces: experience quality, participation and consistency.

# Why Experience Changes the Value of 1 AED

Every dirham grows or shrinks based on the quality of experience that surrounds it.

*Experience determines how far 1 AED travels:*

## LODGING (18–22%) → GXP

Consistency & Trust

A smooth hotel experience amplifies the total economic multiplier of the trip.

## TRANSPORT (30–36%) → GXP

Sensing & Reliability

Better transport experience increases movement – and with it, total spend.

## CULTURE, ENTERTAINMENT & RETAIL (15–20%) → GXP

Meaning & Participation

When the cultural experience is strong, every other spending category lifts.

## FOOD & BEVERAGE (22–26%) → GXP

Emotion & Memory

F&B spend is essentially an index of how a place makes people feel.

## OTHER SERVICES (3–5%) → GXP

Safety & Seamlessness

People spend and explore more when they feel safe and supported.

Source: JLL analysis; aggregated global tourism spend benchmarks and tourism satellite account (STA) distributions.

# The GXP Measurement System

How people feel, what they do, and how reliably it happens – all become measurable.

## "How it feels"
## Emotional Metrics

Key Measurements:

- Net Promoter Score
- Satisfaction Ratings
- Emotional Journey Mapping
- Cultural Authenticity
- Service Excellence
- Staff Interactions
- Comfort Levels
- Stress Indicators
- Memory Creation
- Wow Moments

## "What people choose to do"
## Engagement Metrics

Key Measurements:

- Activity Uptake
- Cross-Category Engagement
- Dwell Time
- Exploration Depth
- District Mobility
- Spending Distribution
- Return Frequency
- Booking Conversions
- Digital Engagement
- App Usage

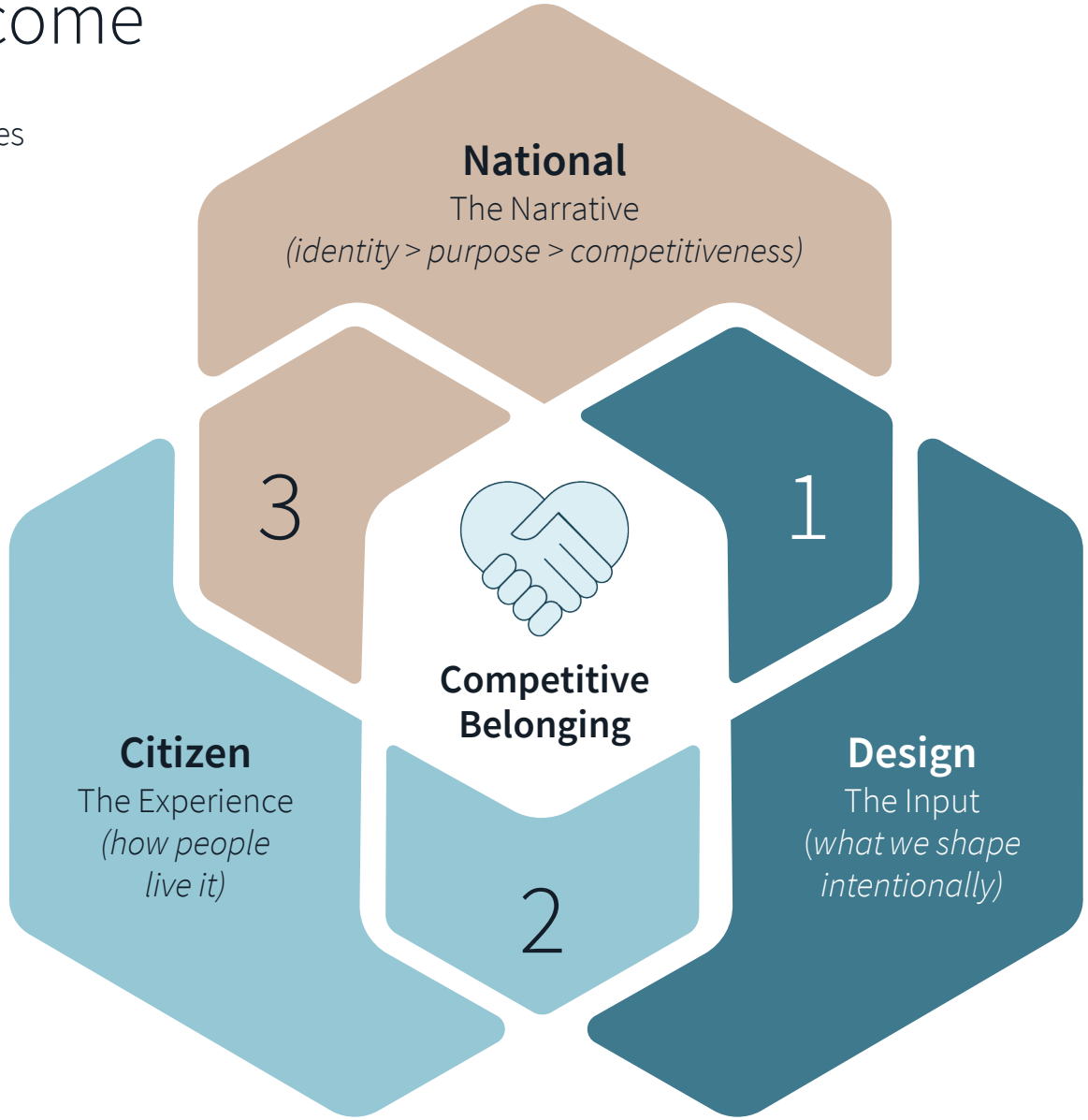
## "How reliably it happens"
## Reliability Metrics

Key Measurements:

- Service Standards
- Quality Variance
- Staff Performance
- Training Effectiveness
- Operational Reliability
- Problem Resolution
- Recovery Speed
- Process Compliance
- Experience Standardization
- Delivery Timing

# Belonging is the System Outcome

When design, experience and identity align, belonging becomes a competitive force that drives loyalty, advocacy and growth.



# Thank you

For more information, please visit
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